MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION NOVEMBER 2025

First Semester

MG1MDCECO100 – Economics and Finance in Everyday Life

(2024 Admission Onwards)

Part A

Short Answer Type Questions.

Answer 10 questions and each question carries 2 marks.

1. The PACED decision-making model is a structured approach to making decisions that helps individuals evaluate their options based on specific criteria. It includes five steps that make up its acronym PACED. The letters stand for problem, alternatives, criteria, evaluation, and decision.
2. Cognitive bias can be defined as a mental error affecting how we think and process information, leading to an irrational decision. It significantly influence financial decision-making by altering perceptions, distorting risk assessments, and leading to suboptimal investment outcomes. Common biases such as overconfidence, anchoring, loss aversion, herd behavior, and confirmation bias affect how individuals evaluate financial information and make investment choices
3. Total cost is the sum of all costs incurred by a firm in producing a certain level of output. The components of total cost are fixed costs and variable costs.
4. The time value of money (TVM) is a fundamental financial principle stating that a sum of money has greater value today than it does in the future, given its potential earning capacity. Importance- planning finances, loan and debt management, assessment of risk, understanding inflation, comparing financial options
5. The Eisenhower Matrix is a time-management and prioritization tool that categorizes tasks into four quadrants based on their urgency and importance
6. Social engineering involves manipulating people into revealing confidential information or performing actions that compromise security. Addressing social engineering is crucial because it exploits human psychology to bypass technical security measures, leading to data breaches, financial loss, and operational disruption.
7. CIBIL helps banks and financial institutions by providing a credit report and score for individuals and businesses, allowing them to quickly and objectively assess creditworthiness and make informed lending decisions. This allows them to decide on loan approval, set interest rates, and manage their overall loan portfolio more effectively.

8. Diversification is a risk management strategy that creates a mix of various investments within a portfolio. A diversified portfolio contains distinct asset types and investment vehicles in an attempt to limit exposure to any single asset or risk.
9. Economics is a branch social science that studies how individuals, businesses, governments, and nations make choices about producing, distributing, and consuming goods and services with limited resources to satisfy unlimited wants. Scope -microeconomics (individual markets) and macroeconomics (the economy as a whole).
10. Informed Decision-making is the process in which a decision is made based on facts or information.
11. Annual rate of return (ROR) is the amount earned on an investment over a 12-month period, and is usually expressed as a percentage.
12. Advantages of investment over saving- potential for higher returns, long-term wealth accumulation, ability to outpace inflation, power of compounding, tax efficiency etc (Hint: Write any two)
13. A Ponzi scheme is an investment fraud that pays existing investors with funds collected from new investors.
14. A personal loan is an unsecured loan offered by banks, credit unions, or online lenders to meet various personal expenses like home renovations, medical bills etc
15. Virtual trading, also known as paper trading, allows individuals to simulate buying and selling stocks without risking real money. It's an educational tool for beginners and experienced investors to practice trading strategies in a risk-free environment.

Part B

Short Essay Questions

Answer 6 questions each question carries 5 marks

16. **Value liberally**-Heuristics are mental shortcuts or rules of thumb that people use to simplify complex financial decisions under uncertainty. While they offer cognitive efficiency, their application can lead to both beneficial outcomes and systemic biases that result in poor decisions. Reliance of heuristic lead to good financial outcomes due to cognitive efficiency, experience based shortcuts and promoting action. Reliance of heuristic lead to bad financial outcomes due to overreliance and biases, poor diversification and risk misjudgement, by holding large investments too long.

17. Enhanced productivity- Technological advancement-Effective use of physical capital-Improvement in quality of life- Modernisation of attitude- Increases life expectancy-Increased participation and equality-encourages innovation(Full mark for any 5 points with explanation)

18. **Value liberally**-Mental accounting is a concept from behavioral economics introduced by Richard Thaler. It refers to the way individuals mentally separate their money into different "accounts" based on subjective labels like source or intended to use- It affect financial decision making by Impulsive debt mismanagement-loss aversion-spending with unexpected income - Risk-taking differences-Suboptimal resource allocation -Inconsistent management- Influence of framing

19. Neuroeconomics studies how the brain makes economic decisions. Methods- Combining disciplines, Functional neuro imaging, Electrophysiology, Behavioral genetics, Cognitive genomics, Experimental procedures, Social cognitive neuroscience, Economic theory. (Hint: Give maximum marks for the correct explanation of neuro economics. Methods not directly mentioned in the syllabus)

20. An unplanned decision by a consumer to buy a product or service, made just before a purchase. Impact include budget deviation, reduced savings and emergency funds, increased debt, insufficient funds for essentials, hindered long-term goals, lowered credit score, financial stress and mental health issues

21. Prospect theory holds that people tend to place a greater weight on the potential for loss than the probability of gain when choosing among options. Key components include **loss aversion**, where people feel losses more acutely than equivalent gains; **reference dependence**, where decisions are evaluated relative to a reference point, not absolute outcomes; and **probability weighting**, where small probabilities are often overweighted and large ones are underweighted.(Hint: Give maximum marks if the student correctly stated the concept of ponzi scheme)

22. Interest rates determine the amount of interest payments that savers will receive on their deposits. An increase in interest rates will make saving more attractive and should encourage saving. A cut in interest rates will reduce the rewards of saving and will tend to discourage saving.

23. A securities market is a financial marketplace where various financial instruments, such as stocks, bonds, and derivatives, are bought and sold. The functions of securities markets are: mobilize saving, capital formation, liquidity, risk management**,** price discovery etc.

24. Key ratios-Working Capital Ratio**,** Quick Ratio, Earnings Per Share (EPS), Price-to-Earnings (P/E) Ratio, Debt-to-Equity (D/E) Ratio, Return on Equity (ROE) (Give full mark for the correct explanation of any 5 ratios)

25. A credit card is a payment card issued by a financial institution that allows a cardholder to borrow funds to make purchases, with an obligation to repay the borrowed money, plus any applicable interest and fees. Advantages-easy access to credit, build credit history, rewards and perks, convenience for travel and emergencies, detailed record keeping etc. Disadvantages-multiple fees, debt accumulation, high interest rates, minimum due trap, hidden expenses, easily

overused, credit card theft, cash withdrawal limits etc (Give marks for any other relevant points also)